down a lot further to justify an investor to buy these “cheap” stocks. This increased aversion to risk, following a steep price drop, leads to more selling, and more selling leads to even more hatred for risk, which leads to more selling, and so forth. What you end up is a stampede for the exits and an intense selloff in the marketplace—well beyond what a traditional economist would consider “rational.”

This discussion is a simplified story of investor psychology in the context of a stock-market drawdown. For exposition purposes, we are leaving out many potentially important details. However, details aside, if one believes that investors recalibrate their tolerance for risk during a market debacle, and tend to sell shares at any price, this might help explain why long-term trend-following rules, which systematically get an investor out of a cliff-diving bear market before everyone has jumped ship, have worked over time. Of course, technical rules will only work if the massive bear doesn't happen in a short time period before the long-term trend rules can signal an exit. Technical rules will not save an investor from a 1987 type “flash” crash, but they can save an investor from a 1929 or a 2008 type crash, which can take a few months to develop. And as long as the bull rally following an epic bear market doesn't come fast and furious, long-term trend rules will allow the investor to participate in a substantial portion of the upside. In the end, if one believes in a price dynamic that involves steep and relatively sharp declines, followed by slow grinding uphill climbs, simple technical rules will, by design, improve risk-adjusted performance.

Summary

Simple technical rules, in the form of simple moving averages (MA) or time series momentum (TMOM), seem to be useful in a risk-management context. Will they continue to work in the future? Who knows, but market psychology seems to suggest they'll continue to be useful. These trading rules lower drawdown risk but allow the investor to participate in a lot of the upside associated with a given asset class. Trying to determine the “best” technical rule is somewhat arbitrary—both MA and TMOM are useful. Our analysis suggests that there is no reason to limit ourselves to one of the technical rules. We can do a simple 50/50 split between the rules and generate an excellent risk-reward profile with the ROBUST system.